

The Industry *vis-a-vis* the Economy

Investors must ascertain how an industry reacts to changes in the economy. Some industries do not perform well during a recession, others exhibit less buoyancy during a boom. On the other hand, certain industries are unaffected in a depression or a boom. What are the major classifications?

1. Industries that are generally unaffected during economic changes are the evergreen industries. These are industries that produce goods individuals need, like the food or agro-based industries (dairy products, etc.)
2. Then there are the volatile cyclical industries which do extremely well when the economy is doing well and do badly when depression sets in. The prime examples are durable goods, consumer goods such as textiles and shipping. During hard times individuals postpone the purchase of consumer goods until better days.
3. Interest sensitive industries are those that are affected by interest rates. When interest rates are high, industries such as real estate and banking fare poorly.
4. Growth industries are those whose growth is higher than other industries and growth occurs even though the economy may be suffering a setback.

What should investors do? Investors should determine how an industry is affected by changes in the economy and movements in interest rates. If the economy is moving towards a recession, investors should disinvest their holdings in cyclical industries and switch to growth or evergreen industries. If interest rates are likely to fall, investors should consider investment in real estate or construction companies. If, on the other hand, the economy is on the upturn, investment in consumer and durable goods industries are likely to be profitable.